WELLS FARGO
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Market Commentary

WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

Consensus Overly Pessimistic

March 6, 2019

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Last Week's S&P 500 Index:
+0.4%

Key takeaways

- *We believe the consensus "Street" estimates for earnings in the first quarter of 2019 are overly pessimistic.*
- *Our analysis suggests more cyclical sectors will still benefit from the economic environment that lies ahead.*

A number of market pundits have been fearing a slowdown in earnings growth since the middle of last year—as if it was unimaginable that growth would slow in 2019 compared to the north of 22% surge the S&P 500 experienced in 2018 or that the market was not expecting a slowdown. Rest assured, institutional investors in no way, shape, or form expected the strong earnings growth to carry over from last year into this year.

But the funny thing is, many strategists thought the fourth quarter of last year was going to be a near disaster. The financial media hyped this negative angle day in and day out coming into and throughout much of the earlier portion of the fourth-quarter reporting season. What actually happened was quite the opposite. Based on Standard and Poor's numbers and with nearly 97% of companies having reported results, earnings were up 15% in the final quarter of 2018. We think most readers would agree that fourth-quarter results were hardly a disaster. In fact, one would be tempted to describe the magnitude of growth as "robust." Certainly the results were far better than many on the "Street" expected.

But what about the current quarter? And for that matter, all of 2019? Our analysis suggests earnings in the first quarter will be flat. The consensus is calling for earnings to be down on a year-over-year basis somewhere in the -3% area. In recent months, earnings estimates have come down as domestic and global growth fears have bothered analysts. Investors have been debating the earnings growth prospects for 2019 as a whole for at least the last nine months. We argued numerous times since last spring that the market was focused on this year, not 2018. Our call is for earnings growth to be 7% this year, but the consensus is expecting the end result to be a couple of percent lower. And then there are the strategist outliers who are looking for close to zero earnings growth this year. Not surprisingly, they seem to garner most of the headlines. Do a news search for "earnings recession" and you will see what we mean.

However, we do not look for global economic activity to fall off a cliff as some have been speculating. Is economic growth going to be slower this year compared to last? Yes it is, but once again, that is not new news. Whether it is the slowdown in earnings growth or GDP, it is the magnitude of this slowdown that investors have been wrestling with for some time. We are optimistic that China's stimulus efforts to enhance economic growth will work. Other emerging market economies should benefit as a result. Europe has been a big question mark. Valuations appear attractive relative to historical averages, but current political risks are high.

With 35% to 40% of S&P 500 revenues coming from outside the U.S., we need help from other international economies to reach our earnings expectations for domestic large and mega-cap stocks. Currently favored sectors where the consensus is potentially underestimating growth include Information Technology, Financials, and Consumer Discretionary. The bottom line is, in our opinion, the consensus estimates are overly pessimistic.

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Definitions

An index is unmanaged and not available for direct investment.

S&P 500 Index is a market capitalization-weighted index composed of 500 widely held common stocks that is generally considered representative of the US stock market.

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